MICROECONOMICS

MICRO-45

Time: 5 minutes

Outcome: Trace Entry, Exit & Long-Run Equilibrium.

Difficulty: ●●○ Intermediate

Entry, Exit & Long-Run Equilibrium

THE CORE IDEA

In monopolistic competition, short-run profit attracts entry and short-run loss causes exit until economic profit is zero. Entry and exit remove economic profit in both models. Excess capacity compares equilibrium Q with minimum-ATC Q.

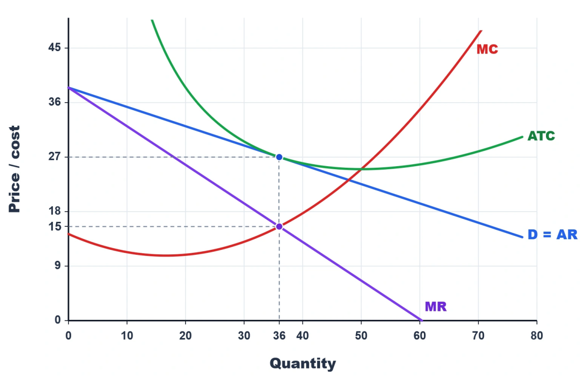
HOW TO RECOGNIZE IT

- Short-run economic profit attracts entry, which reduces each incumbent firm's demand.
- Short-run losses cause exit, which raises the demand facing surviving firms.
- Long-run equilibrium occurs when the firm's demand is tangent to average total cost and economic profit is zero.
- Distinguish zero economic profit from zero accounting profit.

WATCH OUT

A common mistake is to equate zero economic and accounting profit. Entry and exit remove economic profit in both models. Zero economic profit is an entry condition, not proof of allocative or productive efficiency.

WORKED EXAMPLE: ENTRY, EXIT, AND LONG-RUN PROFIT



At 36 units, the firm charges $27 and has ATC of $27. Total revenue is $27 x 36 = $972, and total cost is also $972, so economic profit is zero. With no profit attracting entry and no loss causing exit, the industry is in long-run equilibrium.

CHECK YOURSELF

What does excess capacity measure?

READY? Return to the game and master this concept.